

F

Face Amount

[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Notional Amount](#).

Fail-to-Deliver

[Glossary Term Usage](#) | See Topic(s): [940](#)

A fail-to-deliver is a securities sale to another broker-dealer that has not been delivered to the buying broker-dealer by the close of business on the settlement date.

Fail-to-Receive

[Glossary Term Usage](#) | See Topic(s): [940](#)

A fail-to-receive is a securities purchase from another broker-dealer not received from the selling broker-dealer by the close of business on the settlement date.

Fair Value

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [718](#)

The amount at which an asset (or liability) could be bought (or incurred) or sold (or settled) in a current transaction between willing parties, that is, other than in a forced or liquidation sale.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#) , [230](#) , [255](#) , [275](#) , [310](#) , [320](#) , [321](#) , [326](#) , [350](#) , [360](#) , [410](#) , [460](#) , [470](#) , [480](#) , [505](#) , [715](#) , [718](#) , [805](#) , [810](#) , [815](#) , [820](#) , [825](#) , [832](#) , [835](#) , [842](#) , [845](#) , [940](#) , [942](#) , [944](#) , [946](#) , [948](#) , [958](#) , [962](#) , [965](#) , [978](#)

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Fair Value Hedge

[Glossary Term Usage](#) | See Topic(s): [815](#)

A hedge of the exposure to changes in the fair value of a recognized asset or liability, or of an unrecognized firm commitment, that are attributable to a particular risk.

Fed Funds Effective Rate Overnight Index Swap Rate

[Glossary Term Usage](#) | See Topic(s): [815](#)

The fixed rate on a U.S. dollar, constant-notional interest rate swap that has its variable-rate leg referenced to the Fed Funds Effective Rate (an overnight rate) with no additional spread over the Fed Funds effective rate on that variable-rate leg. That fixed rate is the derived rate that would result in the swap having a zero fair value at inception because the present value of fixed cash flows, based on that rate, equates to the present value of the variable cash flows.

Federal Home Loan Mortgage Corporation

[Glossary Term Usage](#) | See Topic(s): [948](#)

Often referred to as Freddie Mac, FHLMC is a private corporation authorized by Congress to assist in the development and maintenance of a secondary market in conventional residential mortgages. FHLMC purchases mortgage loans and sells mortgages principally through mortgage participation certificates representing an undivided interest in a group of conventional mortgages. FHLMC guarantees the timely payment of interest and the collection of principal on the participation certificates.

Federal National Mortgage Association

[Glossary Term Usage](#) | See Topic(s): [948](#)

Often referred to as Fannie Mae, FNMA is an investor-owned corporation established by Congress to support the secondary mortgage loan market by purchasing mortgage loans when other investor funds are limited and selling mortgage loans when other investor funds are available.

Fees

[Glossary Term Usage](#) | See Topic(s): [958](#)

See [Compensation](#).

FHLMC

NO INCOMING LINKS

See [Federal Home Loan Mortgage Corporation](#).

Field



[Glossary Term Usage](#) | See Topic(s): [932](#)

A field is an area consisting of a single reservoir or multiple reservoirs all grouped on or related to the same individual geological structural feature and/or stratigraphic condition. There may be two or more reservoirs in a field which are separated vertically by intervening impervious strata, or laterally by local geologic barriers, or by both. Reservoirs that are associated by being in overlapping or adjacent fields may be treated as a single or common operational field. The geological terms structural feature and stratigraphic condition are intended to identify localized geological features as opposed to the broader terms of basins, trends, provinces, plays, areas-of-interest, and so forth.

Field and Row Crops



[Glossary Term Usage](#) | See Topic(s): [905](#)

Field and row crops are usually planted from seeds or are transplanted from beds and develop to the point of harvest within several months.

Film Costs



[Glossary Term Usage](#) | See Topic(s): [220](#) , [926](#)

Film costs include all direct negative costs incurred in the physical production of a film, as well as allocations of production overhead and capitalized interest in accordance with Topic [835](#). Examples of direct negative costs include costs of story and scenario; compensation of cast, directors, producers, extras, and miscellaneous staff; costs of set construction and operations, wardrobe, and accessories; costs of sound synchronization; rental facilities on location; and postproduction costs such as music, special effects, and editing.

Film Group



[Glossary Term Usage](#) | See Topic(s): [920](#) , [926](#)

The unit of account used for impairment testing for a [film](#) or a [license agreement](#) for program material when the film or license agreement is expected to be predominantly monetized with other films and/or license agreements instead of being predominantly monetized on its own. A film group represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other films and/or license agreements.

Film Prints



[Glossary Term Usage](#) | See Topic(s): [926](#)

Those materials, produced on behalf of a film distributor for delivery to a theater or other similar venue, that contain the completed audio and video elements of a film. Such materials are used by the theater or other similar venue to exhibit the film to its customers.

Films



[Glossary Term Usage](#) | See Topic(s): [920](#) , [926](#)

Feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

Final-Pay Formula



[Glossary Term Usage](#) | See Topic(s): [715](#)

A benefit formula that bases benefits on the employee's compensation over a specified number of years near the end of the employee's service period or on the employee's highest compensation periods. For example, a plan might provide annual pension benefits equal to 1 percent of the employee's average salary for the last 5 years (or the highest consecutive 5 years) for each year of service. A final-pay plan is a plan with such a formula.

Finance Lease



[Glossary Term Usage](#) | See Topic(s): [220](#) , [450](#) , [805](#) , [810](#) , [835](#) , [842](#) , [970](#)

From the perspective of a [lessee](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#).

Financial Asset



[Glossary Term Usage](#) | See Topic(s): [230](#) , [270](#) , [310](#) , [325](#) , [326](#) , [805](#) , [810](#) , [820](#) , [825](#) , [860](#) , [940](#) , [958](#)

Cash, evidence of an ownership interest in an entity, or a contract that conveys to one entity a right to do either of the following:

- a. Receive cash or another financial instrument from a second entity
- b. Exchange other financial instruments on potentially favorable terms with the second entity.

Financial Flexibility



[Glossary Term Usage](#) | See Topic(s): [958](#)

The ability of an entity to take effective actions to alter amounts and timing of cash flows so it can respond to unexpected needs and opportunities.

Financial Guarantee Insurance Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

A contract issued by an insurance entity that provides protection to the holder of a financial obligation from a financial loss in the event of a default. Specifically, a contract that obligates the insurance entity to pay a claim upon the occurrence of an event of default. The event of a default (insured event) refers to nonpayment (when due) of insured contractual payments (generally principal and interest) by the issuer of the insured financial obligation.

Financial Guarantee Reinsurance Contract

[Glossary Term Usage](#) | See Topic(s): [944](#)

See [Financial Guarantee Insurance Contract](#)

Financial Instrument

[Glossary Term Usage](#) | See Topic(s): [235](#) , [260](#) , [480](#) , [505](#) , [815](#) , [820](#) , [825](#) , [860](#) , [954](#)

- Cash, evidence of an ownership interest in an entity, or a contract that both:
- a. Imposes on one entity a contractual obligation either:
 - 1. To deliver cash or another financial instrument to a second entity
 - 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
 - b. Conveys to that second entity a contractual right either:
 - 1. To receive cash or another financial instrument from the first entity
 - 2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument. Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. All contractual rights (contractual obligations) that are financial instruments meet the definition of asset (liability) set forth in FASB Concepts Statement No. 6, Elements of Financial Statements, although some may not be recognized as assets (liabilities) in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition. For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2024;  December 16, 2025 | **Transition Guidance:** [105-10-65-9](#)

Cash, evidence of an ownership interest in an entity, or a contract that both:

- a. Imposes on one entity a contractual obligation either:

1. To deliver cash or another financial instrument to a second entity
 2. To exchange other financial instruments on potentially unfavorable terms with the second entity.
- b. Conveys to that second entity a contractual right either:
1. To receive cash or another financial instrument from the first entity
 2. To exchange other financial instruments on potentially favorable terms with the first entity.

The use of the term financial instrument in this definition is recursive (because the term financial instrument is included in it), though it is not circular. The definition requires a chain of contractual obligations that ends with the delivery of cash or an ownership interest in an entity. Any number of obligations to deliver financial instruments can be links in a chain that qualifies a particular contract as a financial instrument.

Contractual rights and contractual obligations encompass both those that are conditioned on the occurrence of a specified event and those that are not. Some contractual rights (contractual obligations) that are financial instruments may not be recognized in financial statements—that is, they may be off-balance-sheet—because they fail to meet some other criterion for recognition.

For some financial instruments, the right is held by or the obligation is due from (or the obligation is owed to or by) a group of entities rather than a single entity.

Financial Liability

[Glossary Term Usage](#) | See Topic(s): [815](#) , [820](#) , [825](#) , [860](#)

A contract that imposes on one entity an obligation to do either of the following:

- a. Deliver cash or another financial instrument to a second entity
- b. Exchange other financial instruments on potentially unfavorable terms with the second entity.

Financial Standby Letter of Credit

[Glossary Term Usage](#) | See Topic(s): [460](#)

An irrevocable undertaking (typically by a financial institution) to guarantee payment of a specified financial obligation.

Financial Statements Are Available to Be Issued

[Glossary Term Usage](#) | See Topic(s): [105](#) , [205](#) , [326](#) , [805](#) , [810](#) , [815](#) , [848](#) , [855](#)

Financial statements are considered available to be issued when they are complete in a form and format that complies with GAAP and all approvals necessary for issuance have been obtained, for example, from management, the board of directors, and/or significant shareholders. The process involved in creating and distributing the financial statements will vary depending on an entity's management and corporate governance structure as well as statutory and regulatory requirements.

Financial Statements Are Issued

[Glossary Term Usage](#) | See Topic(s): [205](#) , [805](#) , [855](#)

Financial statements are considered issued when they are widely distributed to shareholders and other financial statement users for general use and reliance in a form and format that complies with GAAP. (U.S. Securities and Exchange Commission [SEC] registrants also are required to consider the guidance in paragraph [855-10-S99-2](#).)

Financially Interrelated Entities

[Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

A recipient entity and a specified beneficiary are financially interrelated entities if the relationship between them has both of the following characteristics:

- a. One of the entities has the ability to influence the operating and financial decisions of the other.
- b. One of the entities has an ongoing economic interest in the net assets of the other.

Financing Activities

[Glossary Term Usage](#) | See Topic(s): [230](#)

Financing activities include obtaining resources from owners and providing them with a return on, and a return of, their investment; receiving restricted resources that by donor stipulation must be used for long-term purposes; borrowing money and repaying amounts borrowed, or otherwise settling the obligation; and obtaining and paying for other resources obtained from creditors on long-term credit.

Financing Receivable

[Glossary Term Usage](#) | See Topic(s): [310](#) , [326](#) , [840](#)

A financing arrangement that has both of the following characteristics:

- a. It represents a contractual right to receive money in either of the following ways:
 1. On demand
 2. On fixed or determinable dates.
- b. It is recognized as an asset in the entity's statement of financial position.

See paragraphs [310-10-55-13 through 55-15](#) for more information on the definition of financing receivable, including a list of items that are excluded from the definition (for example, debt securities).

Firm Commitment

Definition 1 | **NO INCOMING LINKS**

An agreement with a third party that is binding on both parties. The agreement specifies all significant terms, including items to be exchanged, consideration, and timing of the transaction. The agreement includes a disincentive for nonperformance that is sufficiently large to ensure the expected performance. In the context of episodic television series, a firm commitment for future production includes only episodes to be delivered within one year from the date of the estimate of ultimate revenue.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [815](#) , [825](#)

An agreement with an unrelated party, binding on both parties and usually legally enforceable, with the following characteristics:

- a. The agreement specifies all significant terms, including the quantity to be exchanged, the fixed price, and the timing of the transaction. The fixed price may be expressed as a specified amount of an entity's functional currency or of a foreign currency. It may also be expressed as a specified interest rate or specified effective yield. The binding provisions of an agreement are regarded to include those legal rights and obligations codified in the laws to which such an agreement is subject. A price that varies with the market price of the item that is the subject of the firm commitment cannot qualify as a fixed price. For example, a price that is specified in terms of ounces of gold would not be a fixed price if the market price of the item to be purchased or sold under the firm commitment varied with the price of gold.
- b. The agreement includes a disincentive for nonperformance that is sufficiently large to make performance probable. In the legal jurisdiction that governs the agreement, the existence of statutory rights to pursue remedies for default equivalent to the damages suffered by the nondefaulting party, in and of itself, represents a sufficiently large disincentive for nonperformance to make performance probable for purposes of applying the definition of a firm commitment.

Firm Fixed-Price Contract

[Glossary Term Usage](#) | See Topic(s):

A contract in which the price is not subject to any adjustment by reason of the cost experience of the contractor or his performance under the contract.

Firm Purchase Commitment

[Glossary Term Usage](#) | See Topic(s): [205](#) , [360](#)

A firm purchase commitment is an agreement with an unrelated party, binding on both parties and usually legally enforceable, that meets both of the following conditions:

- a. It specifies all significant terms, including the price and timing of the transaction.
- b. It includes a disincentive for nonperformance that is sufficiently large to make performance probable.

Fiscal Funding Clause

[Glossary Term Usage](#) | See Topic(s): [842](#)

A provision by which the lease is cancelable if the legislature or other funding authority does not appropriate the funds necessary for the governmental unit to fulfill its obligations under the lease agreement.

Fixed Participation Method

[Glossary Term Usage](#) | See Topic(s): [860](#)

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which all principal payments on the receivables in the trust are allocated to the investors based on their respective participation interests in the credit card receivables in the trust at the end of the reinvestment period.

Fixed Time

[Glossary Term Usage](#) | See Topic(s): [978](#)

A time-sharing arrangement in which ownership is passed through a deed and the buyer purchases a specific period (generally, a specific week) during the year.

Fixed-Price Contract Providing for Firm Target Cost Incentives

[Glossary Term Usage](#) | See Topic(s):

A contract that provides at the outset for a firm target cost, a firm target profit, a price ceiling (but not a profit ceiling or floor), and a formula (based on the relationship that final negotiated total cost bears to total target cost) for establishing final profit and price.

Fixed-Price Contract Providing for Performance Incentives

[Glossary Term Usage](#) | See Topic(s):

A contract that incorporates an incentive to the contractor to surpass stated performance targets by providing for increases in the profit to the extent that such targets are surpassed and for decreases to the extent that such targets are not met.

Fixed-Price Contract Providing for Prospective Periodic Redetermination of Price

[Glossary Term Usage](#) | See Topic(s):

A contract that provides a firm fixed-price for an initial number of unit deliveries or for an initial period of performance and for prospective price redeterminations either upward or downward at stated intervals during the remaining period of performance under the contract.

Fixed-Price Contract Providing for Retroactive Redetermination of Price

[Glossary Term Usage](#) | See Topic(s):

A contract that provides for a ceiling price and retroactive price redetermination (within the ceiling price) after the completion of the contract, based on costs incurred, with consideration being given to management ingenuity and effectiveness during performance.

Fixed-Price Contract Providing for Successive Target Cost Incentives

[Glossary Term Usage](#) | See Topic(s):

A contract that provides at the outset for an initial target cost, an initial target profit, a price ceiling, a formula for subsequently fixing the firm target profit (within a ceiling and a floor established along with the formula, at the outset), and a production point at which the formula will be applied.

Fixed-Price Contract with Economic Price Adjustment

[Glossary Term Usage](#) | See Topic(s):

A contract that provides for upward or downward revision of contract price upon the occurrence of specifically defined contingencies, such as increases or decreases in material prices or labor wage rates.

Fixed-Price Contracts

[Glossary Term Usage](#) | See Topic(s): [605](#) , [910](#)

A fixed-price or lump-sum contract is a contract in which the price is not usually subject to adjustment because of costs incurred by the contractor. See also the following common variations of fixed-price contracts:

- a. [Firm Fixed-Price Contract](#)
- b. [Fixed-Price Contract with Economic Price Adjustment](#)
- c. [Fixed-Price Contract Providing for Prospective Periodic Redetermination of Price](#)
- d. [Fixed-Price Contract Providing for Retroactive Redetermination of Price](#)
- e. [Fixed-Price Contract Providing for Firm Target Cost Incentives](#)
- f. [Fixed-Price Contract Providing for Successive Target Cost Incentives](#)
- g. [Fixed-Price Contract Providing for Performance Incentives](#)
- h. [Fixed-Price Level-of-Effort Term Contract](#).

Fixed-Price Level-of-Effort Term Contract

[Glossary Term Usage](#) | See Topic(s):

A contract that usually calls for investigation or study in a specific research and development area. It obligates the contractor to devote a specified level of effort over a stated period of time for a fixed dollar amount.

Flat-Benefit Formula

[Glossary Term Usage](#) | See Topic(s): [715](#)

A benefit formula that bases benefits on a fixed amount per year of service, such as \$20 of monthly retirement income for each year of credited service. A flat-benefit plan is a plan with such a formula.

Floating Participation Method

[Glossary Term Usage](#) | See Topic(s): [860](#)

[Liquidation method](#) used to allocate principal payments on the receivables in a trust to the investors, under which principal payments allocated to the investors are based on the investors' actual participation interests in the receivables in the trust each month. Each month, investors' participation interests in the credit card receivables in the trust are redetermined for that month's allocation of principal payments.

Floating Time

[Glossary Term Usage](#) | See Topic(s): [978](#)

A time-sharing arrangement in which ownership is passed through a deed but the buyer is not limited to a specific period (generally, a specific week) during the year.

Floor Broker

[Glossary Term Usage](#) | See Topic(s): [940](#)

A member of a securities exchange who executes transactions on the floor of an exchange for the account of that member's own entity or for the account of other member entities. Broker-dealers often engage floor brokers, who are responsible for executing securities transactions on the exchanges for the account of the broker-dealer. Floor brokers employed by the entity may execute trades on behalf of other broker-dealers, for which the entity is paid a brokerage fee. The purchase and sale department of the broker-dealer maintains the records of floor brokerage fees that are due to other broker-dealers who execute orders on the entity's behalf and brokerage fees due from other broker-dealers.

FNMA

NO INCOMING LINKS

See [Federal National Mortgage Association](#).

Forecasted Transaction

[Glossary Term Usage](#) | See Topic(s): [815](#)

A transaction that is expected to occur for which there is no firm commitment. Because no transaction or event has yet occurred and the transaction or event when it occurs will be at the prevailing market price, a forecasted transaction does not give an entity any present rights to future benefits or a present obligation for future sacrifices.

Foreign Activities

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [942](#)

See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05(c)(1), for the definition of foreign activities for purposes of Regulation S-X Rule 9-05.

Foreign Currency

[Glossary Term Usage](#) | See Topic(s): [830](#)

A currency other than the functional currency of the entity being referred to (for example, the dollar could be a foreign currency for a foreign entity). Composites of currencies, such as the [Special Drawing Rights](#), used to set prices or denominate amounts of loans, and so forth, have the characteristics of foreign currency.

Foreign Currency Statements

[Glossary Term Usage](#) | See Topic(s): [830](#)

Financial statements that employ as the [unit of measure](#) a functional currency that is not the reporting currency of the reporting entity.

Foreign Currency Transactions

[Glossary Term Usage](#) | See Topic(s): [830](#)

Transactions whose terms are denominated in a currency other than the entity's functional currency. Foreign currency transactions arise when a reporting entity does any of the following:

- a. Buys or sells on credit goods or services whose prices are denominated in foreign currency
- b. Borrows or lends funds and the amounts payable or receivable are denominated in foreign currency
- c. Is a party to an unperformed forward exchange contract

- d. For other reasons, acquires or disposes of assets, or incurs or settles liabilities denominated in foreign currency.

Foreign Currency Translation

[Glossary Term Usage](#) | See Topic(s): [830](#)

The process of expressing in the reporting currency of the reporting entity those amounts that are denominated or measured in a different currency.

Foreign Entity

[Glossary Term Usage](#) | See Topic(s): [805](#) , [810](#) , [830](#)

An operation (for example, subsidiary, division, branch, joint venture, and so forth) whose financial statements are both:

- a. Prepared in a currency other than the reporting currency of the reporting entity
- b. Combined or consolidated with or accounted for on the equity basis in the financial statements of the reporting entity.

Foreign Exchange Risk

[Glossary Term Usage](#) | See Topic(s): [815](#)

The risk of changes in a hedged item's fair value or functional-currency-equivalent cash flows attributable to changes in the related foreign currency exchange rates.

Forgivable Loan

[Glossary Term Usage](#) | See Topic(s): [832](#)

 PENDING CONTENT



 PENDING CONTENT



Transition Date:  December 16, 2028;  December 16, 2029 | **Transition Guidance:** [832-10-65-2](#)

A loan for which the lender agrees to waive repayment under certain prescribed conditions established by a government.

Formation Date

[Glossary Term Usage](#) | See Topic(s): [350](#) , [450](#) , [740](#) , [805](#)

 PENDING CONTENT



 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [805-60-65-1](#)

The formation date of a [joint venture](#) is the date on which an entity initially meets the definition of a joint venture, which is not necessarily the [legal entity](#) formation date. The formation date is the measurement date for the formation transaction. If multiple arrangements are accounted for as a single transaction that establishes the formation of a joint venture, the formation date is the measurement date for all arrangements that form part of the single formation transaction.

Forward Commitment Dollar Roll



[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Government National Mortgage Association Rolls](#).

Forward Exchange Contract



[Glossary Term Usage](#) | See Topic(s): [946](#)

A forward exchange contract is an agreement between two parties to exchange different currencies at a specified exchange rate at an agreed-upon future date.

Fractional Interest



[Glossary Term Usage](#) | See Topic(s): [978](#)

A partial ownership interest in real estate that typically includes larger blocks of time on an annual basis (for example, three weeks or more).

Franchise Agreement



[Glossary Term Usage](#) | See Topic(s): [952](#)

A written business agreement that meets the following principal criteria:

- a. The relation between the franchisor and franchisee is contractual, and an agreement, confirming the rights and responsibilities of each party, is in force for a specified period.

- b. The continuing relation has as its purpose the distribution of a product or service, or an entire business concept, within a particular market area.
- c. Both the franchisor and the franchisee contribute resources for establishing and maintaining the franchise. The franchisor's contribution may be a trademark, a company reputation, products, procedures, manpower, equipment, or a process. The franchisee usually contributes operating capital as well as the managerial and operational resources required for opening and continuing the franchised outlet.
- d. The franchise agreement outlines and describes the specific marketing practices to be followed, specifies the contribution of each party to the operation of the business, and sets forth certain operating procedures that both parties agree to comply with.
- e. The establishment of the franchised outlet creates a business entity that will, in most cases, require and support the full-time business activity of the franchisee. (There are numerous other contractual distribution arrangements in which a local businessperson becomes the authorized distributor or representative for the sale of a particular good or service, along with many others, but such a sale usually represents only a portion of the person's total business.)
- f. Both the franchisee and the franchisor have a common public identity. This identity is achieved most often through the use of common trade names or trademarks and is frequently reinforced through advertising programs designed to promote the recognition and acceptance of the common identity within the franchisee's market area.

The payment of an initial franchise fee or a continuing royalty fee is not a necessary criterion for an agreement to be considered a franchise agreement.

Franchisee



[Glossary Term Usage](#) | See Topic(s): [952](#)

The party who has been granted business rights (the franchise) to operate the franchised business.

Franchisor



[Glossary Term Usage](#) | See Topic(s): [952](#)

The party who grants business rights (the franchise) to the party (the franchisee) who will operate the franchised business.

Fraternal Benefit Society



[Glossary Term Usage](#) | See Topic(s): [944](#)

An entity that provides life or health insurance to its members and their beneficiaries. Policyholders normally participate in the earnings of the society, and insurance contracts stipulate that the society has the power to assess its members if the funds available for future policy benefits are not sufficient to provide for benefits and expenses.

Freestanding Call Option



[Glossary Term Usage](#) | See Topic(s): [860](#)

A call option that is neither embedded in nor attached to an asset subject to that call option.

Freestanding Contract

[Glossary Term Usage](#) | See Topic(s): [326](#) , [815](#)

A freestanding contract is entered into either:

- a. Separate and apart from any of the entity's other financial instruments or equity transactions
- b. In conjunction with some other transaction and is legally detachable and separately exercisable.

Freestanding Financial Instrument

[Glossary Term Usage](#) | See Topic(s): [480](#) , [718](#) , [815](#)

A financial instrument that meets either of the following conditions:

- a. It is entered into separately and apart from any of the entity's other financial instruments or equity transactions.
- b. It is entered into in conjunction with some other transaction and is legally detachable and separately exercisable.

Front-End Fees

[Glossary Term Usage](#) | See Topic(s): [944](#)

See [Initiation or Front-End Fees](#).

Front-End Load

[Glossary Term Usage](#) | See Topic(s): [946](#)

A sales commission or charge payable at the time of purchase of mutual fund shares.

Fronting Arrangements

[Glossary Term Usage](#) | See Topic(s): [944](#)

Reinsurance arrangements in which the ceding entity issues a policy and reinsures all or substantially all of the insurance risk with the assuming entity.

Full Eligibility (for Benefits)

[Glossary Term Usage](#) | See Topic(s): [715](#)

The status of an employee having reached the employee's full eligibility date. Full eligibility for benefits is achieved by meeting specified age, service, or age and service requirements of the postretirement benefit plan. See [Full Eligibility Date](#).

Full Eligibility Date

[Glossary Term Usage](#) | See Topic(s): [710](#) , [715](#)

The date at which an employee has rendered all of the service necessary to have earned the right to receive all of the benefits expected to be received by that employee (including any beneficiaries and dependents expected to receive benefits). Determination of the full eligibility date is affected by plan terms that provide incremental benefits expected to be received by or on behalf of an employee for additional years of service, unless those incremental benefits are trivial. Determination of the full eligibility date is not affected by plan terms that define when benefit payments commence or by an employee's current marital or dependency status.

Fully Benefit-Responsive Investment Contract

[Glossary Term Usage](#) | See Topic(s): [815](#) , [825](#) , [946](#) , [962](#) , [965](#)

An investment contract is considered fully benefit-responsive if all of the following criteria are met for that contract, analyzed on an individual basis:

- a. The investment contract is effected directly between the plan and the issuer and prohibits the plan from assigning or selling the contract or its proceeds to another party without the consent of the issuer.
- b. Either of the following conditions exists:
 1. The repayment of principal and interest credited to participants in the plan is a financial obligation of the issuer of the investment contract.
 2. Prospective interest crediting rate adjustments are provided to participants in the plan on a designated pool of investments held by the plan or the contract issuer, whereby a financially responsible third party, through a contract generally referred to as a wrapper, must provide assurance that the adjustments to the interest crediting rate will not result in a future interest crediting rate that is less than zero.

If an event has occurred such that realization of full contract value for a particular investment contract is no longer probable (for example, a significant decline in creditworthiness of the contract issuer or wrapper provider), the investment contract shall no longer be considered fully benefit-responsive.

- c. The terms of the investment contract require all permitted participant-initiated transactions with the plan to occur at contract value with no conditions, limits, or restrictions. Permitted participant-initiated transactions are those transactions allowed by the plan, such as any of the following:
 1. Withdrawals for benefits
 2. Loans

3. Transfers to other funds within the plan.

d. An event that limits the ability of the plan to transact at contract value with the issuer and that also limits the ability of the plan to transact at contract value with the participants in the plan, such as any of the following, must be probable of not occurring:

1. Premature termination of the contracts by the plan
2. Plant closings
3. Layoffs
4. Plan termination
5. Bankruptcy
6. Mergers
7. Early retirement incentives.

e. The plan itself must allow participants reasonable access to their funds.

If access to funds is substantially restricted by plan provisions, investment contracts held by those plans may not be considered to be fully benefit-responsive. For example, if plan participants are allowed access at contract value to all or a portion of their account balances only upon termination of their participation in the plan, it would not be considered reasonable access and, therefore, investment contracts held by that plan would generally not be deemed to be fully benefit-responsive. However, in plans with a single investment fund that allow reasonable access to assets by inactive participants, restrictions on access to assets by active participants consistent with the objective of the plan (for example, retirement or health and welfare benefits) will not affect the benefit responsiveness of the investment contracts held by those single-fund plans. Also, if a plan limits participants' access to their account balances to certain specified times during the plan year (for example, semiannually or quarterly) to control the administrative costs of the plan, that limitation generally would not affect the benefit responsiveness of the investment contracts held by that plan. In addition, administrative provisions that place short-term restrictions (for example, three or six months) on transfers to competing fixed-rate investment options to limit arbitrage among those investment options (equity wash provisions) would not affect a contract's benefit responsiveness.

Fully Eligible Plan Participants

[Glossary Term Usage](#) | See Topic(s): [715](#)

Collectively, that group of former employees (including retirees) and active employees who have rendered service to or beyond their full eligibility date and who are expected to receive benefits under the plan, including benefits to their beneficiaries and covered dependents.

Fully Insured Experience-Rated Arrangement

[Glossary Term Usage](#) | See Topic(s): [965](#)

In a fully insured experience-rated arrangement, specified benefits are paid by the insurance entity that assumes all the financial risk. Contract experience is monitored by the insurance entity. Contract experience may or may not include the experience of other similar contract holders. To the extent that benefits incurred plus risk charges and administration costs are less than premiums paid, the related plan is entitled to an experience-rating refund or dividend (see paragraphs [965-310-25-2 through 25-3](#)). If the total of benefits incurred, risk charges, and administrative costs exceeds premiums, the accumulated loss is generally borne by the insurance entity but may be carried over to future periods until it has been recovered (see paragraph [965-30-25-5](#)). The related plan often

has no obligation to continue coverage or to reimburse the carrier for any accumulated loss, although there are certain types of contracts that require additional payments by the plan.

Fully Insured Pooled Arrangement

[Glossary Term Usage](#) | See Topic(s): [965](#)

In a fully insured pooled arrangement, specified benefits are covered by the insurance entity. The insurance entity pools the experience of the plan with that of other similar businesses and assumes the financial risk of adverse experience. In such an arrangement, a plan generally has no obligation for benefits covered by the arrangement other than the payment of premiums due to the insurance entity (see paragraph [965-10-05-9](#)).

Functional Currency

[Glossary Term Usage](#) | See Topic(s): [830](#)

An entity's functional currency is the currency of the primary economic environment in which the entity operates; normally, that is the currency of the environment in which an entity primarily generates and expends cash. (See paragraphs [830-10-45-2 through 45-6](#) and [830-10-55-3 through 55-7](#).)

Functional Expense Classification

[Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

A method of grouping expenses according to the purpose for which costs are incurred. The primary functional classifications of a not-for-profit entity are program services and supporting activities.

Fund

[Glossary Term Usage](#) | See Topic(s): [715](#)

Used as a verb, to pay over to a funding agency (as to fund future pension benefits or to fund pension cost). Used as a noun, assets accumulated in the hands of a funding agency for the purpose of meeting pension benefits when they become due.

Funding Agency

[Glossary Term Usage](#) | See Topic(s): [960](#)

An organization or individual, such as a specific corporate or individual trustee or an insurance entity, that provides facilities for the accumulation of assets to be used for paying benefits under a pension plan; an organization, such as a specific life insurance entity, that provides facilities for the purchase of such benefits.

Funding Method

NO INCOMING LINKS

See [Actuarial Funding Method](#).

Funding Policy

[Glossary Term Usage](#) | See Topic(s): [715](#) , [960](#)

The program regarding the amounts and timing of contributions by the employers, plan participants, and any other sources (for example, state subsidies or federal grants) to provide the benefits a pension plan or other postretirement benefit plan specifies.

Fundraising Activities

[Glossary Term Usage](#) | See Topic(s): [958](#)

Activities undertaken to induce potential donors to contribute money, securities, services, materials, facilities, other assets, or time.

Funds Functioning as Endowment

[Glossary Term Usage](#) | See Topic(s): [230](#) , [958](#)

[Net assets without donor restrictions](#) (donors include other types of contributors, including makers of certain grants) designated by an entity's governing board to be invested to provide income for generally a long but not necessarily specified period. A board-designated endowment, which results from an internal designation, is generally not donor-restricted and is classified as net assets without donor restrictions. The governing board has the right to decide at any time to expend such funds. In rare circumstances, funds functioning as endowment also can include a portion of [net assets with donor restrictions](#). For example, if an NFP is unable to spend donor-restricted contributions in the near term, the board sometimes considers the long-term investment of these funds. (Sometimes referred to as quasi-endowment funds or [board-designated endowment funds](#).)

Futures Contract

[Glossary Term Usage](#) | See Topic(s): [905](#)

A standard and transferable form of contract that binds the seller to deliver to the bearer a standard amount and grade of a commodity to a specific location at a specified time. It usually includes a schedule of premiums and discounts for quality variation.